Audit Program - Inventory, Accounts Receivable, Accounts Payable

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1. Rules applied

• Balance rule (per account): balance above 10,000,000 = Medium investigation; above 50,000,000 = Deep investigation; otherwise Standard.
• GRC rule: any control NOT PASSED in the GRC assessment forces a Deep test, regardless of the balance. Controls with no result are not relied upon. Risks with no matching GRC control are treated as coverage gaps.
• Prioritisation: risk importance (1-5) x 10 + GRC failure/gap bonus + depth weight + share of balance sheet. Highest score is allocated first.
• Resourcing: 2 people, maximum 80 hours each (160 hours available).
• Scope-out: Standard-balance risks with a passed GRC control and importance below 4 rely on GRC (no extra testing).

2. Inputs and risk rating by account

Account	Balance	% of total	Balance-rule depth	GRC controls (Pass / Fail / Unknown)
Inventory	62,000,000	72.1%	Deep	2 / 1 / 0
Accounts Receivable	18,000,000	20.9%	Medium	3 / 1 / 0
Accounts Payable	6,000,000	7.0%	Standard	2 / 1 / 1

3. Resource allocation

Person	Tasks	Hours	Capacity	Utilisation
Ana	4	80	80	100%
Ben	5	79	80	99%

WARNING: 10 lower-priority tests (80 hours) could not be allocated within the 80-hour limit. See section 6.

4. Audit program (ordered by priority)

Ref	Account	Risk	Control expected	Test to perform	Depth	Person	Hrs
INV-03	Inventory	Obsolete / slow-moving stock not provided for (NRV)	Periodic slow-moving & obsolescence review with provision policy approved by management	Full ageing and NRV test on all lines over threshold; subsequent sales / price testing; challenge management assumptions	Deep	Ana	20
AR-02	Accounts Receivable	Uncollectible receivables not adequately provided for (valuation)	Expected credit loss / allowance methodology reviewed monthly; overdue follow-up	Full ageing re-performance, challenge ECL model inputs, subsequent cash for all overdue, customer-level credit-worthiness review	Deep	Ben	24
INV-02	Inventory	Inventory valued at incorrect cost (valuation)	Standard cost / weighted average cost reviewed and approved; purchase price variances analysed	Full cost build-up test on 50+ items, overhead rate recalculation, analytical review of margins by product	Deep	Ana	24
AP-05	Accounts Payable	Unauthorised or segregation-breaching payments	Payment runs approved by two authorised signatories; SoD between vendor set-up, invoice entry and payment	Test all manual/urgent payments above threshold; full SoD conflict analysis in ERP/bank portal	Deep	Ben	18
INV-01	Inventory	Inventory recorded does not exist or is not held (existence)	Periodic physical count / cycle counts reconciled to perpetual records with approved adjustments	Attend full count, 60+ items both directions, roll-forward/back to balance sheet date, investigate all variances	Deep	Ana	28
INV-04	Inventory	Receipts and shipments recorded in wrong period (cut-off)	Goods received / dispatched cut-off procedures; GRN and delivery notes sequentially controlled	Test 30+ movements either side of year-end, including in-transit and returns; reconcile GRN sequence	Deep	Ben	16
AR-04	Accounts Receivable	Sales to customers beyond credit capacity or unauthorised customers (credit risk)	Customer master data approval; credit limits approved and system-enforced	Test all limit overrides, analyse customers exceeding limits, review master-data change logs	Deep	Ben	16
AP-01	Accounts Payable	Liabilities understated / unrecorded (completeness)	Goods-received-not-invoiced accrual and period-end liability review	Review GRNI accrual and search 5 post year-end payments	Standard	Ben	5
AR-03	Accounts Receivable	Sales recorded in wrong period (cut-off)	Revenue cut-off controls; shipping documents and invoice dates reconciled at period end	Test 15 sales and 10 credit notes either side of period end	Medium	Ana	8

5. Why each control / test was selected

Ref	Depth	Priority	GRC controls linked	Rationale
INV-03	Deep	91.4	C-002, C-030	Inventory balance 62,000,000 (72% of the three accounts) => Deep by balance rule (>10,000,000 Medium, >50,000,000 Deep). Risk importance 4/5 (library rating). GRC assessment NOT PASSED for C-002, C-030 => Deep test regardless of balance.
AR-02	Deep	91.2	C-011, C-030	Accounts Receivable balance 18,000,000 (21% of the three accounts) => Medium by balance rule (>10,000,000 Medium, >50,000,000 Deep). Risk importance 5/5 (library rating). GRC assessment NOT PASSED for C-011, C-030 => Deep test regardless of balance.
INV-02	Deep	86.4	none	Inventory balance 62,000,000 (72% of the three accounts) => Deep by balance rule (>10,000,000 Medium, >50,000,000 Deep). Risk importance 5/5 (library rating). No matching control found in the GRC file => coverage gap, control assumed absent.
AP-05	Deep	78.4	C-020, C-022, C-023	Accounts Payable balance 6,000,000 (7% of the three accounts) => Standard by balance rule (>10,000,000 Medium, >50,000,000 Deep). Risk importance 4/5 (library rating). GRC assessment NOT PASSED for C-023 => Deep test regardless of balance.
INV-01	Deep	76.4	C-001	Inventory balance 62,000,000 (72% of the three accounts) => Deep by balance rule (>10,000,000 Medium, >50,000,000 Deep). Risk importance 5/5 (library rating). GRC assessment PASSED for C-001.
INV-04	Deep	76.4	none	Inventory balance 62,000,000 (72% of the three accounts) => Deep by balance rule (>10,000,000 Medium, >50,000,000 Deep). Risk importance 4/5 (library rating). No matching control found in the GRC file => coverage gap, control assumed absent.
AR-04	Deep	71.2	C-010, C-011, C-012	Accounts Receivable balance 18,000,000 (21% of the three accounts) => Medium by balance rule (>10,000,000 Medium, >50,000,000 Deep). Risk importance 3/5 (library rating). GRC assessment NOT PASSED for C-011 => Deep test regardless of balance.
AP-01	Standard	61.4	none	Accounts Payable balance 6,000,000 (7% of the three accounts) => Standard by balance rule (>10,000,000 Medium, >50,000,000 Deep). Risk importance 5/5 (library rating). No matching control found in the GRC file => coverage gap, control assumed absent.
AR-03	Medium	60.2	none	Accounts Receivable balance 18,000,000 (21% of the three accounts) => Medium by balance rule (>10,000,000 Medium, >50,000,000 Deep). Risk importance 4/5 (library rating). No matching control found in the GRC file => coverage gap, control assumed absent.

6. Tests not allocated (capacity) and risks relied upon

Not allocated - add resources or accept residual risk:

Ref	Account	Risk	Depth	Hrs needed	Priority
INV-06	Inventory	Stock held at third parties, consigned or in transit misstated (rights & ownership)	Deep	14	66.4
AR-01	Accounts Receivable	Fictitious or overstated receivables / revenue (existence & occurrence)	Medium	14	60.2
AR-07	Accounts Receivable	Subledger does not agree to general ledger (accuracy / completeness)	Medium	6	60.2
INV-05	Inventory	Theft, misuse or unauthorised movement of inventory (safeguarding)	Deep	16	56.4
AP-03	Accounts Payable	Fictitious vendors or fraudulent bank-detail changes	Standard	4	56.4
AP-02	Accounts Payable	Invalid, duplicate or inflated invoices paid (accuracy & occurrence)	Standard	5	51.4
AP-04	Accounts Payable	Purchases recorded in wrong period (cut-off)	Standard	3	51.4
AR-05	Accounts Receivable	Cash receipts misapplied or unapplied cash hides errors/fraud (lapping)	Medium	8	50.2
AR-06	Accounts Receivable	Unauthorised credit notes, write-offs or manual adjustments	Medium	8	50.2
AP-06	Accounts Payable	Subledger does not agree to GL; debit balances misclassified	Standard	2	41.4